

Against Consistency in Investment Arbitration

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1. Introduction

The current literature on investment arbitration is replete with encouragements for arbitrators to strive for consistency among decisions. Just one quote will do: Stephan Schill argues that ‘investor-state arbitration perform[s] the important function of protecting foreign investments against illegitimate government interference’. This function needs to be pursued, he states, in such a way that ‘enhance[s] the predictability of investment arbitration’.¹

To be sure, consistency is intuitively perceived to be something valuable, a banner under which we can gather and forget our differences. After all, consistency of decisions increases predictability. And predictability allows both states and investors to orient their behaviour in greater confidence, with more certainty about the consequences of their actions. Predictability is even, arguably, what the rule of law is all about. And we all want more rule of law, because the rule of law is perceived as an unconditional moral positive, the ‘glorious triumph . . . over inferior forms of communitarian extra-legal tyranny’.² So consistency should have our undivided, unqualified support. Also, simply out of habit à la Bourdieu, we lawyers tend to be ‘critical of fragmentation and decentralization, and intuitively in search of order’, as Joost Pauwelyn puts it in the first chapter of this volume.

A number of expectations and directives follow from this ideal, which shape both the criteria against which the current system is to be benchmarked and the best way forward. Joost Pauwelyn discusses some of them in his chapter, for instance centralization. I want to focus on just one such expectation and directive, because it is enough to make my point: investment arbitral tribunals should cite and walk in line with prior cases as much as possible, for in so doing they increase consistency,

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¹ Schill, S., ‘Deference in Investment Treaty Arbitration: Re-conceptualizing the Standard of Review’ (2012) 3 *J. Int’l Disp. Settlement* 577, at p. 606. See also Chapter 4 in this volume: ‘The normative aspect of the multilateralization of international investment law also provides a theoretical foundation for the concern regarding inconsistent decision-making.’

² Auerbach, J., *Justice Without Law?* (Oxford University Press, 1983), at p. 14.

and thus predictability, and thereby strengthen the investment rule of law. The aim for consistency, then, would legitimize the exercise of law-making powers by investment arbitrators. Florian Grisel explains this laconically in his chapter in the current volume: 'The possibility to refer to previous awards allows arbitrators to find the authority and legitimacy to create new rules of investment law.'³ The creed of consistency, incarnating the paragon of virtues to be found in the rule of law, is indeed a very effective excuse to do a great many things, because consistency and the rule of law are perceived as some of the most widely accepted ideals in political morality.

But is it really so simple? I argue that it is not. The pursuit of consistency among decisions only has a very relative value, dependent on what is being made consistent. Pursuing consistency, furthering the rule of law, may in fact do more harm than good.

To see the point, we shall subject certain functions of investment arbitrators, revolving around the purported duty to strive for consistency, to an evaluative investigation informed by moral-political, rather than theoretical-explanatory values. We then see that, in the acceptance of the international rule of law most in accord with the idea of consistency, advancing the international rule of law is a neutral act-type from a perspective of political morality. The reason for this sober baseline is that the rule of law, in this understanding, is itself a morally neutral state of affairs. As a consequence, striving for consistency is not inherently, by necessity, a moral positive. Put bluntly, it is not more important for a rule to be settled than it be settled right, since the former is morally neutral and the latter is meant to be a moral positive. It follows, as a generally valid inference, that the necessary explanandum for investment arbitrators in order to pursue consistency, effected for example by following prior cases, is the desirability of the rule or regime thus strengthened. In the absence of a satisfactory treatment of this explanandum, investment arbitrators should be agnostic to consistency, because by default they should focus on making a sound decision in the case at hand, not to strengthen rules and aim for grander, largely wooden rule-of-law ideals.

2. An Axiom

In order to keep the discussion simple, I first have to posit an axiom. To be clear, an axiom is a premise or starting point lying outside the scope of a discussion: it is taken to be true, it is not to be proven, and it cannot logically be refuted. Put differently, an axiom's relative truth is accepted *ex hypothesi* within a particular analysis and serves as a point of departure to infer or deduce other truths, which are necessarily relative too. Now, the axiom I want to posit is that certain areas of the regime created by investment arbitration are 'bad', in the sense of being on the whole undesirable, of causing more harm than good.

³ See Chapter 7 in this volume.

As I said, this is an axiom. We may accept it or reject it, but I am not going to discuss it. I will not discuss it because the question whether a regime is good or bad, causes more harm or good, is a vast empirical question requiring a lot of empirical social science studies. Even a laconically selective survey of certain areas of the investment regime that are particularly clear causes for concern would be inappropriate: it likely would sidetrack the discussion, steering it into particulars and away from the main point.

For the sake of the argument's simplicity, I will even go one step further, and extend the axiom to the investment regime as a whole, as if it were unitary, as if it were equally 'good or bad' throughout all of its different facets, in all of its different areas. To be sure, this is not meant to represent reality. It is merely meant to define a starting point, a hypothetical. The variegated colours of political-economic reality, its inherent changingness over time, and the Weberian polytheism in values in considering a regime's good and harm are discounted here in favour of a clean and simple working hypothesis: the regime created by investment arbitral tribunals miscarried.

Let me repeat this once more, and no apology is offered for the repetition for the point is important and rather unusual to lawyers: I do not *claim* that the investment regime is a bad one, or that investment arbitration cases have on the whole been inappropriately decided. I *assume* it; I posit it as an axiom. The idiosyncrasies of empirical truth will undoubtedly show this to be sometimes true, sometimes wrong. So be it. This is not my point.

Why is this so important? One reason is that if it were my point to claim that the investment regime is bad, I would need to entertain discussions such as: Is compound interest in investment arbitration actually good or bad? Can we come to a conclusive answer, regarding that question, by comparing the investment arbitration practice to the ILC Articles on State Responsibility and the practice of human rights courts or even constitutional courts?⁴ Should the progressive development of the police powers doctrine be welcomed because it brings investment arbitration closer to the practice of human rights courts?⁵ In both cases, the decisions of human rights courts are not by necessity better, from a moral-political perspective, than those of an economically minded tribunal. Are the compensation rules for fair and equitable treatment (FET) breaches good or bad? Should FET and expropriation compensation be treated alike?⁶ Is it good or bad that most-favoured-nation (MFN) clauses facilitate access by investors to dispute settlement mechanisms? All in all, is it good that investors are granted the protection they have, or should they have less, or perhaps more? To a large extent, at heart this is merely a debate between us, on the left, and them, on the right.⁷ It is not so much open to

⁴ Grisel, F., 'L'octroi d'intérêts composés par les tribunaux arbitraux d'investissement' (2011) 138 *Journal du Droit International* 545.

⁵ Viñuales, J., *Foreign Investment and the Environment* (Cambridge University Press, 2012), ch. 15.

⁶ Tschanz, P.-Y., and J. Viñuales, 'Compensation for Non-expropriatory Breaches of International Investment Law' (2009) 26 *J. Int'l Arb.* 729.

⁷ See e.g. Schill, Chapter 4 in this volume: 'the emergence of multilateral structures of investment protection on bilateral grounds appears crucial for providing a legal infrastructure for a truly global

moral-political discussions, but rather to political discussions tout court, to axiologically informed power battles, regardless of the fact that such discussions are often cloaked in the veil of theoretical-explanatory examinations, if not straightforward technical clarifications. As many political debates, this one is likely to be protracted and to continue until one of the parties imposes its force. I shall not pretend to take a neutral stance in this debate. I take sides, unscientifically, and posit it as an axiom. The axiom is a valid basis for an analytic argument. The axiom itself is based on political preferences.

Another reason why identifying the starting point as an axiom matters is that, if it were my point to claim that the investment regime is bad, the most obvious consequential arguments would have to deal with rectifying how the system works: Should we have other, better substantive rules on which to ground decisions? Should we have other, better procedural rules conducive to better decisions? Should we have other, better individuals to make the decisions? Arguments such as these are undoubtedly important. But others make them.

My point is a simpler one: assuming that the investment regime is a bad one, should arbitrators nevertheless strive for consistency? Does it compensate for some of the 'badness' of the system if it is at least predictable? Or does it rather make matters worse? Is the promotion of the rule of law an ideal that should be pursued regardless of the 'good' or 'bad' of the system? Can investment arbitrators validly argue that, yes, the system is bad, but at least we are clarifying it, making it more predictable, more consistent? Clearly, for the party losing an arbitration, if the decision is both 'bad' (which it might well be anyway for the losing party) and inconsistent with other decisions, this may add insult to injury. Now, this is a purely, by definition, subjective, individualistic approach. I rather want to consider the system as a whole: let us focus on systemic considerations.

Before we get there, a few points need to be clarified. The first is: why this axiom? Why posit that the investment regime is 'bad'? The answer is probably obvious, and it was implicitly provided in the preceding paragraph. But perhaps I should make it explicit: if the regime is 'good', the vectors are aligned. Making a 'good' system more predictable can barely be a problem or a negative. Ruminations on this front are academically uninteresting.

Second, beyond the aforementioned Weberian value polytheism, a further reason to resort to an axiom (and I mean an axiom tout court, as opposed to the specific axiom I have chosen), allowing us to retreat to the comparatively objective grounds of analytic abstraction, can be found in the troubled epistemic objectivity of investment arbitration as a field of inquiry. Brian Leiter, for instance, has argued that the epistemic objectivity of a scientific field of inquiry is dependent on the cognitive reliability of the way in which the field's participants form their beliefs.⁸

economy . . . they create a framework for equal competition among foreign investors . . . This enables capital to flow to wherever it is allocated most efficiently . . . Enhanced competition, in turn, enhances innovation and technological change which, again, should lead to economic growth and development.'

⁸ Leiter, B., 'Introduction?' in Leiter, B. (ed.), *Objectivity in Law and Morals* (Cambridge University Press, 2001), pp. 1–11, at p. 1: 'epistemic objectivity: that the cognitive processes and mechanisms by

That is to say, a discipline's method of understanding or mode of understandability can only be so objective as the degree to which the participants form their opinion, judgments, and the like, in a manner that is, in Joseph Raz's words, 'properly sensitive to factors that are epistemically relevant to the truth or correctness of their judgments and opinions'.⁹ This in turn depends on the fact that, as Sigrún Svavarsdóttir puts it, 'the process of inquiry is not affected by distorting factors, especially the prior opinions, expectations, wishes, and biases of the inquirers'.¹⁰ Matthew Kramer couches the same idea in plainer language: he argues that the objective cognitive reliability of the participants' beliefs requires the 'absence or minimization of distortive influences such as narrow self-interest and bigotry and uninformed whims'.¹¹ To recap: the presence of such distortive influences affects the cognitive reliability of the manner in which a field's participants form their beliefs, which in turn affects the epistemic objectivity of the field as a whole. Whether there are such distortive influences in investment arbitration as a scientific field has precisely been the underlying preoccupation leading to a recent vexing report.¹² Its authors took what Hart would call an external point of view of the field and cast epistemological doubt on the objectivity of certain procedures and mechanisms producing academic discourse in the field. Just as Andrea Bianchi puts it for international law generally speaking, the forces at play in the battle of candidates for paradigm in investment arbitration are not all imbued with a straightforward descriptive intent.¹³

But enough general epistemological clarifications and warnings. Let us, briefly, move on to the matter of investment arbitrators following prior cases, or 'precedents' in a non-technical sense.

3. Following Prior Cases

Why do investment arbitrators follow prior cases? Do they do it as a mimicry of national judges? Out of pusillanimity, in hiding behind what others have done? Out of certain intellectual obstacles that prevent them from thinking without rules? Or out of a sense of moral duty, in the belief that following prior cases strengthens

which we form beliefs about the world be constituted in such a way that they at least *tend* toward the production of accurate representations of how things are.'

⁹ Raz, J., 'Notes on Values and Objectivity' in Leiter, *Objectivity in Law and Morals* (note 8), pp. 193–234, at p. 195.

¹⁰ Svavarsdóttir, S., 'Objective Values: Does Metaethics Rest on a Mistake?' in Leiter, *Objectivity in Law and Morals* (note 8), pp. 144–93, at p. 153.

¹¹ Kramer, M., *Objectivity and the Rule of Law* (Cambridge University Press, 2007), at p. 99.

¹² Eberhardt, P., and C. Olivet, *Profiting from injustice. How law firms, arbitrators and financiers are fuelling an investment arbitration boom* (Corporate Europe Observatory and the Transnational Institute, 2012).

¹³ Bianchi, B., 'Reflexive Butterfly Catching: Insights from a Situated Catcher' in Pauwelyn, J., R. Wessel and J. Wouters (eds.), *Informal International Lawmaking* (Oxford University Press, 2012), at pp. 200–15. On battles of candidates for paradigm, see Kuhn, T., *The Structure of Scientific Revolutions* (2nd edn, University of Chicago Press, 1970).

the international rule of law, that it is their duty to do something for the international rule of law, or even that the rule of law expresses a value so elevated that it excuses an individually bad decision? My guess is that, in most cases, this is done mainly because of a *habitus à la Pierre Bourdieu*. Recall: a *habitus* in his sense is a set of '[s]ystems of durable, transposable dispositions, structured structures predisposed to function as structuring structures, that is, as principles which generate and organize practices and representations that can be objectively adapted to their outcomes without presupposing a conscious aiming at ends or an express mastery of the operations necessary in order to attain them'.¹⁴ Put differently, arbitrators would follow prior cases because that is the social practice in the field now, that is simply how you do things when you are an investment arbitrator. No particular end is consciously aimed at, beyond the end of comporting with the prevailing social practice. In practical terms, this would translate into what Julian Mortenson calls 'a troubling tendency for an *insufficiently reflective* reliance on precedent to swamp the principles of treaty interpretation'.¹⁵ (To be clear, I do not implicitly make here the absurd empirical claim that all investment arbitrators always abide by all relevant precedents, or even that a majority of arbitrators refer to prior awards in a majority of cases. I entertain no intent to provide a precise account of arbitral practice.)

That question of why investment arbitrators follow prior cases is often asked, but it really is a bit awkward and misses the point. First, an informed answer to it would necessarily require quite a lot of work in the psychoanalytic area. Indeed, notice that the question is descriptive: why do arbitrators do what they do? We can widely hypothesize, as is typically done in the literature today (consider my own use of the word 'guess' in the preceding paragraph), but a truthful answer would have to find out the *actual* determinants of arbitrator behaviour in regard to precedents. Second, why would the question matter anyway? On the one hand, it may help predict what will happen in the future of investment arbitration: if the actual reasons to follow prior cases are particularly strong (not necessarily in the sense of being particularly persuasive but in the sense of being empirically difficult not to yield to), then this practice is likely to continue. On the other hand, an answer to the question of why arbitrators follow prior cases may allow us to better pass moral judgment on them: It is one thing if arbitrators do so out of pusillanimity, or in pursuit of other prudential reasons-for-action.¹⁶ It is quite another, from the perspective of the political morality of their act-tokens, if they follow prior cases because, for instance, they believe to have a moral duty to strengthen the international rule of law.

Or would it really differ all that much? To what extent is the pursuit of the rule of law in fact a moral positive? Part of the answer depends on whether the rule of law itself is morally valuable. What I have just done is to shift from a descriptive to a normative question: *should* investment arbitrators follow prior cases? Clearly, the

¹⁴ Bourdieu, P., *The Logic of Practice* (Stanford University Press, 1990), at p. 53.

¹⁵ Mortenson, J., 'The Uneasy Role of Precedent in Defining Investment' (2013) 28 *ICSID Rev.* 254 (emphasis added).

¹⁶ 'Somebody's prudential reasons-for-action are focused exclusively or primarily on his own interests and only derivatively if at all on the interests of other people': Kramer, M., 'On the Moral Status of the Rule of Law' (2003) 63 *Camb. L.J.* 65, at p. 66.

main reason why they should do so is that it increases consistency among decisions. That consistency is generally a desirable feature for a regulatory regime is barely worth examination. We lawyers have elevated consistency to a remarkably high level: consider the idiom that it is more important for a rule to be settled than it be settled right. If arbitrators can help settling a rule, the idea would go, then it is a good thing that they do so. Consistency is clearly seen as being a moral positive. Let me reformulate: When arbitrators follow prior cases, they engage in a form of regulatory activity, by reinforcing the rule expressed in the prior case or cases. (Incidentally, making *obiter dicta*—that is, looking to future cases—partakes of a similar activity.) They settle a rule. They clarify the law. They make it more predictable. They further the international rule of law. This is clearly apprehended as a moral positive, and it usually is. But by necessity? Is consistency *always* a desirable feature? Is it an *unqualified* good, an *unconditional* positive in political morality? Given the axiom I have posited, if the regime is ‘bad’, does it alleviate some of the regime’s ‘badness’ if it is at least consistent, or does it actually increase it?

Let me first put these questions into context. We now need to take a step back and consider the possible functions of investment arbitrators and then entertain a brief discussion of what type of rule of law we are discussing here.

4. Functions of Dispute Settlement

Courts and tribunals display what David Caron refers to, in a dash to label and to take further ideas sketched by Hersch Lauterpacht,¹⁷ as a direct function and one or several consequential functions.¹⁸ Their direct function is what practising lawyers experiment and black letter lawyers are primarily concerned with; it is the function of resolving the dispute before the court or tribunal, understood in the sense of deciding a case or answering a legal question. Investment arbitration is, of course, no exception in this regard.

More analytically pregnant is the concept of consequential functions, which relates to adjudication’s role in society, to the broader moral-political value of a given tribunal for society, to the question of what is being achieved with the resolution of a dispute or, more interestingly, with the resolution of a universe of disputes. For instance, one consequential function of commercial tribunals is to make contracts enforceable, which sustains or promotes the certainty of contracts, which in turn means to further the international trade of goods and services. Given as much, David Caron evokes an idealized world in which prevail ‘an array of international courts and tribunals which by the selective resolution of disputes

¹⁷ Lauterpacht, H., *The Function of Law in the International Community* (Clarendon Press, 1933), at pp. 423–5.

¹⁸ Caron, D., ‘International Courts and Tribunals: Their Role Amidst a World of Courts’ (2011) 26 *ICSID Rev.* 1.

perform the consequentialist function of ensuring rule of law in each state remains robust'.¹⁹

Further explanatory power may be lent to the concept of consequential functions by distinguishing between intended consequential functions and actual consequential functions. And of course these sundry concepts can be extended, beyond individual courts and tribunals, to dispute settlement systems—for example, all the courts of a given jurisdiction or arbitral tribunals taken as a whole or within a given sector.

The former (intended) consequential functions amount to the political reasons to create a tribunal. They can be moral-political reasons, in which case they often officially become political narratives, or they can be prudential-political reasons, in which case they are not necessarily put front and centre. (In a different context, an international criminal tribunal may for instance be created to help write history, to reinforce international humanitarian law, to provide catharsis to the victims, to mend the conscience of military powers that failed to intervene appropriately in a conflict, and for many more reasons.)

Actual consequential functions are the functions performed in fact, the functional effects if you will, of a court, tribunal, or dispute settlement system. (To take up the example of international criminal tribunals, one may envision a court that effects to exculpate those who are not tried, a court that, by singling out the greater war criminals, to a certain degree re-institutes the lesser war criminals as acceptable members of society.)

Along the same lines, I have marked out elsewhere the elements of a basic theory on the pursuits or functions of dispute settlement systems,²⁰ drawing fairly heavily on Owen Fiss's cardinal exposition of the matter published in 1984.²¹ Fiss's binominal division opposes dispute resolution *stricto sensu* ('What matters is not so much the terms of the resolution, but only that the dispute is resolved';²² the purpose of the process is one of 'moving a case along'²³ and to 'maximize the satisfaction of the parties'²⁴) and the provision of 'justice' (whose purpose 'is not to maximize the ends of private parties, nor simply to secure the peace, but to explicate and give force to the values embodied in authoritative texts [and] to interpret those values and to bring reality into accord with them'²⁵). In sum, the purpose of dispute resolution *stricto sensu* is the dispute itself, while for 'justice' the dispute is an occasion to pursue something larger—namely, the implementation of certain values.

I sought to take this distinction one step further and outlined three possible pursuits for dispute settlement systems:

¹⁹ Caron, 'International Courts and Tribunals' (note 18), at p. 11.

²⁰ Schultz, T., 'The Three Pursuits of Dispute Settlement' (2011) 1 *Czech & Central Eur. Yb. Arb.* 227.

²¹ Fiss, O., 'Against Settlement' (1984) 93 *Yale L.J.* 1073.

²² Fiss, O., 'Second-Hand Justice?', *Connecticut Law Tribune* (17 March 1986), at p. 10.

²³ Fiss, 'Against Settlement' (note 21), at p. 1085.

²⁴ Fiss, 'Against Settlement' (note 21), at p. 1085.

²⁵ Fiss, 'Against Settlement' (note 21), at p. 1085.

- (1) The maximization of the satisfaction of the parties to the instant case.
- (2) The promotion of values that society has collectively agreed to embody in authoritative legal texts, which is a pursuit that in the final analysis aims at bringing reality closer to chosen ideals.
- (3) The furthering of the rule of law, understood in the sense of formal systemic justice, or technically put formal legality, or roughly put predictability in its many incarnations (such as, eschewing more pregnant analytic jargon, coherence and consistency).

The first and second pursuits or functions are, then, essentially refinements of Fiss's two tenets, with further twists in their articulation.²⁶ Moreover, the first pursuit can be equated with Caron's idea of direct functions (though the semantic overlap is only partial), while the second and third pursuits are, straightforwardly, types of consequential functions.

In the case of investment arbitration, seeking to satisfy the interests of the instant parties, means, as in mostly any adjudicative dispute resolution process, to impartially and competently apply the proper legal rules to the relevant facts, to take into consideration all the particulars of the case and to grant the parties appropriate due process. It is the textbook account of investment arbitration, in sum; what we tell undergraduate law students. The aim is to provide the parties with the fairest, most just decision given their particular case, for that is the primary legitimate interest of parties in adjudicative procedures. There is no reason here why there must be *obiter dicta* or references to prior cases, at least not in the context of investment arbitration.

To the second function: the enforcement of core substantive societal values. The idea goes back, for instance, to Fiss in his fray against the culture of settlements. We should never forget, he says, that dispute resolution is also there to 'give concrete meaning and expression to the public values embodied in the law and to protect those values' and to 'apply and protect the norms of the community'.²⁷ Dispute resolution, in other words, is not about the parties doing their thing in the corner,

²⁶ Schultz, 'The Three Pursuits' (note 20), at pp. 235–42. To briefly situate this theory in the literature, its purpose was to take the discussion to a higher degree of abstraction. Let me explain: von Bogdandy, A., and I. Venzke, 'On the Functions of International Courts: An Appraisal in Light of the Burgeoning Public Authority', Amsterdam Law School Legal Studies Research Paper No. 2012-69 (2012), for instance, consider that international courts and tribunals (a concept interpreted very broadly) have one or several of four functions, namely settling disputes (by which they actually mean ending the conflict, or general state of hostility between the parties), stabilizing normative expectations (by which they mean to 'affirm . . . international law as a order that promotes peace and does not bow to the powerful'), making law (increasing normative density), and controlling and legitimating public authority. These four functions can be explained, at a higher level of abstraction, in terms of satisfaction of the parties to the instant case, promotion of the rule of law, and promotion of societal values: settling disputes is one form of party satisfaction; stabilizing normative expectations and making law are two instances of the promotion of the rule of law; and controlling and legitimating public authority can arguably be conceived as an example of promoting certain societal values. This reach for a higher degree of abstraction, as opposed to a theory based on more usual international law concepts, explains and hopefully justifies the use of my own theory, rather than an existing theory: a more abstract theory is likely to have greater explanatory power.

²⁷ Fiss, 'Second-Hand Justice?' (note 22), at p. 11.

oblivious to the rest of the world; it is a centre-stage opportunity to bring our core communal values to bear on society, on concrete cases. A dispute is not only a thing to be done away with to the best of the parties' interest. It is also a special moment in the life of a community, when concrete facts are to be confronted with the values we wanted to achieve through regulations. (Notice that legal security and predictability are undoubtedly societal values. But they are of a procedural, not substantive nature, and are thus beyond the scope of this function.) An investment arbitration is a concrete opportunity to promote the societal values that led to the creation of the investment arbitration system: the intended consequential function would here be to spur sustainable development in host countries. An investment arbitral tribunal meaning to pursue that function would have to investigate what precise level and type of protection should be granted to investors so as to best entice investors to make investments that contribute to sustainable development in the host country while leaving to that country an appropriate policy space. Indeed, if the purpose of investment arbitration is, *ex hypothesi*, to protect investors, for instance by insisting on the certainty of contracts, then that is only a means, where the end is to increase sustainable investments in respect of an adequate policy space. Does increasing sustainable investments and shaping an adequate policy space require to follow prior cases? It might help, but it does not seem necessary. If we stick to the axiom posited earlier, which would imply that the current regime fares poorly in these terms, then it would follow that prior cases should be given rather less than more consideration. All the same, following prior cases is not necessarily, only conditionally serviceable to the pursuit of relevant societal values in investment arbitration.

Noticeably different is the situation in which the third function of dispute settlement is pursued: the sustainment or promotion of the rule of law. Here adjudicators look beyond the instant case before them and take into consideration past and future cases. They attempt to connect earlier and later cases, to establish a continuum of cases pointing the same way. Thus are the underlying rules clarified, and new general rules are progressively created: situation-specific directives become rules that are general in application and address. Legal security is improved. Regulation is created or strengthened.

By strengthened I mean that the normative commands of the system become more coherent with one another, the normative system as a whole becomes more consistent, and in sum the regulation becomes more predictable. This happens for example when prior cases are followed, when *obiter dicta* are given authority, and more generally in the case of compliance with the social conventions in place in the community of adjudicators. If a regime is more predictable, it is more likely to effectively orient the behaviour of its addressees—thus the regulation is 'stronger'. Clearly, a settled rule is more likely to be a live factor in the practical reasoning of its addressees than an unsettled rule: if you know with greater certainty that you are an addressee and what the rule commands you to do, then the rule is likely to figure more prominently in your conscious or unconscious decision-making.

These considerations matter for the following reason: as can directly be inferred from Caron's initial theory, the default function of dispute settlement mechanisms

is to resolve the case before them. Investment arbitration is no exception. To be sure, investment arbitrators must strive—that is a morality of duty, not aspiration²⁸—to impartially and competently apply rules to facts and decide or settle the case. But beyond the direct function of dispute settlement, which, if any, of the other functions should investment arbitrators pursue? And I mean *should*, normatively, so not what they do in fact pursue.

When the third function (promotion of the rule of law) trumps the first (satisfaction of the parties to the instant case, including fairness and justice in that particular outcome), it may lead candid adjudicators to recognize that the outcome of a particular case is not ideal for the instant parties, but that priority is given to the community as a whole, to all actual and potential addressees of the relevant norms. Greater value is given to allowing the community at large to be able to orient their behaviour. As Neil McCormick put it: ‘Where the law prevails, you know where you are, and what you are able to do without getting yourself embroiled in... litigation.’²⁹ This is achieved by maintaining clear rules and sustaining the rule of law, as opposed to making greater adjustments to the parameters of the decision in the instant case.

In the specific context of investment arbitration, we should see that this is the result of a *choice*. Given the standards of review of investment awards, in a large number of situations it is simply not a tenable argument to maintain that the decision may not be ideal because, for instance, public interests would have deserved greater consideration, but that the arbitrators were constrained by the law or the system to reach that decision. In most situations, the outcome is the result of a choice of which of these two functions (instant case vs rule of law) should prevail. I do not mean to say that choices in such cases necessarily should go one way rather than the other. But I do mean to say that these are choices, and that choice implies moral responsibility.

Consider, in turn, the situation in which the third function (promotion of the rule of law) trumps the second (enforcement of core substantive values). This situation may lead candid adjudicators to recognize that perhaps the rule is substantively a bad one, but at least it is clear and its addressees know what they have to do to stay clear of unwanted consequences. This is the argument that it is more important for a rule to be settled than it be settled right. The same idea extends, beyond a rule, to a normative regime as a whole: perhaps the regime is substantively bad (for instance it is at odds with the political or moral reasons for which it was created and which it was meant to pursue), but at least its addressees know what they have to do.

²⁸ Fuller, L., *The Morality of Law* (Yale University Press, 1969), at pp. 5–6. The morality of duty sets the necessary preconditions of any purposive social endeavour. For instance, ‘do not lie’ pertains to the morality of duty. A failure is a wrongdoing. The morality of aspiration sets the directions for such purposive social endeavour. For example, ‘live honourably’ is a norm belonging to the morality of aspiration. A failure, here, is a shortcoming. The morality of duty sets a basic, minimal threshold one must reach. The morality of aspiration defines ideals towards which behaviour should tend.

²⁹ McCormick, N., *Rhetoric and the Rule of Law* (Oxford University Press, 2005), at p. 12.

Now, can investment arbitrators argue that *in any event* they have to aim for the promotion of the international rule of law? One major point in favour of such an argument would be the idea that the international rule of law is *always* a moral positive, that it is necessarily a good thing to pursue it. To be sure, the advantage of the rule of law, thus of a predictable normative regime (notice that predictability obtains by degrees), is that it treats its addressees as responsible moral choosers by allowing them to rationally predict the consequences of their actions. So the rule of law has some morally positive effect. Yet is the rule of law unconditionally a moral positive?

The following sections will elucidate what the rule of law means—or more precisely will explicate which conception of the rule of law is meant here—and will then answer the question just posed.

5. The Rule of Law

The rule of law has a rather specific meaning in the context of the functions of dispute settlement mechanisms recounted by the preceding section. It must be articulated, be it only to steer clear of possible misunderstandings. As Brian Tamanaha puts it, speaking very generally of current geopolitical shifts and political-philosophical orientations, ‘there appears to be a widespread agreement, traversing all fault lines, on one point, and one point alone: that the “rule of law” is good for everyone’.³⁰ The rule of law is, simply, one of the world’s least objectionable political ideals. Tamanaha again: ‘This apparent unanimity in support of the rule of law is a feat unparalleled in history. No other single political ideal has ever achieved global endorsement.’³¹ Accordingly, let us assume, *ex hypothesi*, that we find that investment tribunals contribute to ‘a body of global administrative law that guides State behavior’, that helps define ‘the world standards of good governance and of the rule of law that are enforceable against [states] by foreign investors’.³² An uncritical enthusiast may then rejoice at the fact that investment arbitration promotes one of the world’s least objectionable political ideals. But let us not retreat to the safe and foggy ground of conceptual indeterminacy. Indeed the unobjectionable character of the rule of law in common political, non-analytic discourse is a function of its undefinedness.³³ This means that as soon as we start

³⁰ Tamanaha, B., *On the Rule of Law. History, Politics, Theory* (Cambridge University Press, 2004), at p. 1.

³¹ Tamanaha, *On the Rule of Law* (note 30), at p. 2.

³² Kingsbury, B., and S. Schill, ‘Investor-State Arbitration as Governance: Fair and Equitable Treatment, Proportionality, and the Emerging Global Administrative Law’, Institute for International Law and Justice, NYU Law School, Working Paper 2009/6 (Global Administrative Law Series), at p. 2, available at <<http://www.iilj.org/publications/documents/2009-6.KingsburySchill.pdf>>.

³³ Kingsbury and Schill, ‘Investor-State Arbitration as Governance’ (note 32), at p. 4: arguing that the rule of law has ‘limitations and carries risks seldom mentioned by its advocates. A striking disjunction exists between the theoretical discourse on the rule of law [which defines it and identifies limitations and risks] and the political and public discourse on the rule of law . . . [P]roblems are being glossed over in its promotion.’

defining the rule of law, limitations appear and qualifications are cast over our enthusiasm.

Definitions of the rule of law put forward by legal theorists and philosophers range from the *Rechtsstaat*, which in a nutshell signifies that the government wields its power through law and in accordance with the law³⁴ (it is in other words a principle of legality in the acts of the state³⁵), to the realization of the 'social, economic, educational, and cultural conditions under which man's legitimate aspirations and dignity may be realized',³⁶ and include the *Etat de droit* (government legally guaranteeing fundamental, constitutional rights³⁷), the protection of individual moral and political rights,³⁸ democratic government,³⁹ and formal legality.⁴⁰

It is in the meaning of formal legality that the rule of law is taken for the theory of dispute settlement functions broached earlier. Its core tenor was already adumbrated in the discussion of the preceding section, but its central tenet deserves some further, albeit brief elaboration at this juncture. The ideas of coherence, consistency, and ultimately predictability are at the heart of the concept of the rule of law taken in this formal guise. The rule of law here means, as Matthew Kramer puts it 'nothing more and nothing less than the state of affairs that obtains when a legal system exists and functions'.⁴¹ Simplified to the utmost terseness: a normative regime has to be sufficiently predictable to deserve (a necessary, not sufficient condition) the label of law. Formal legality requires that rules, in order to amount collectively to legal rules, be set out and applied in such ways as to meet a certain, not clearly definable, threshold of predictability.⁴² (Recall: predictability obtains by degrees.) This implies for instance that rules be formulated in general terms

³⁴ Rosenfeld, M., 'The Rule of Law and the Legitimacy of Constitutional Democracy' (2001) 74 *Southern Calif. L. Rev.* 1307, at pp. 1318–30; Tamanaha, *On the Rule of Law* (note 30), at p. 92.

³⁵ Grote, R., 'Rule of Law, Rechtsstaat and Etat de droit' in Starck, C. (ed.), *Constitutionalism, Universalism and Democracy: A Comparative Study* (Nomos, 1999), pp. 269–306, at p. 281.

³⁶ International Commission of Jurists, *The Rule of Law in a Free Society* (Geneva, 1959), at p. vii.

³⁷ Chevallier, J., *L'Etat de droit* (3rd edn, Montchrestien, 1999), at pp. 11, 22–31.

³⁸ Dworkin, R., 'Political Judges and the Rule of Law' (1978) 64 *Proceedings of the British Academy* 259, at p. 262: 'I shall call the second conception of the rule of law the "rights" conception.... It insists that... moral and political rights be recognized in positive law, so that they may be enforced upon the demand of individual citizens through courts or other judicial institutions... It does not distinguish... between the rule of law and substantive justice; on the contrary it requires, as part of the ideal of law, that the rules in the rule book capture and enforce moral rights.'

³⁹ Habermas, J., 'On the Internal Relation Between the Rule of Law and Democracy' (1995) 3 *Eur. J. Philos.* 12: to be precise, Habermas does not argue that the rule of law boils down to democratic government, but that the rule of law needs democracy for its implementation and its legitimacy. This is of course a deforming oversimplification of Habermas's work, but for the purposes of this article this sketchy understanding is sufficient. See also Allan, T., *Law, Liberty, and Justice: The Legal Foundations of British Constitutionalism* (Oxford University Press, 1993), at p. 22: 'universal suffrage may today be taken to be a central strand of the rule of law.'

⁴⁰ Tamanaha, *On the Rule of Law* (note 30), at pp. 119–22, providing an excellent overview of the meanings and debates of the rule of law as formal legality.

⁴¹ Kramer, 'On the Moral Status' (note 16).

⁴² Kramer, *Objectivity and the Rule of Law* (note 11), ch. 2; Tamanaha, *On the Rule of Law* (note 30), at p. 119, stating that the rule of law as formal legality '[a]bove all else... is about predictability.' See also Hayek, F. von., *The Road to Serfdom* (Chicago University Press, 1994), at p. 80, who speaks of 'foresee[ing] with fair certainty'.

accessible and understandable by their addressees, and that they be applied coherently, consistently, competently and impartially.⁴³ In the final analysis, the point of the rule of law qua formal legality, as predictability, is to provide what Lon Fuller pictures as 'dependable guideposts for self-directed action'.⁴⁴ To promote, further, or sustain the predictability of a normative regime, up to a certain point, is to promote, further, or sustain the rule of law. To settle a rule, speaking again in terms of great generality, is to strengthen the rule of law.

The consequence that immediately follows is that, intuitively, we would tend to think that it is necessarily, unconditionally good that arbitrators or judges settle a rule, because it is necessarily, unconditionally good to promote the rule of law. But we shall not yield to intuition so easily.

To start with, consider the violence inherent in judicial law-making, and thus in interpretation. As Robert Cover put it: 'Judges are people of violence. Because of the violence they command, judges characteristically do not create law, but kill it. Theirs is the jurispathic office. Confronting the luxuriant growth of a hundred legal traditions, they assert that this one is law and destroy or try to destroy the rest.'⁴⁵ If I really must state the obvious: arbitrators are people of violence. Consider another quote by Cover, with even more dramatic language, to bring out the salient point:

Legal interpretation takes place in a field of pain and death Legal interpretive acts signal and occasion the imposition of violence upon others: A judge articulates her understanding of a text, and as a result, somebody loses his freedom, his property, his children, even his life. Interpretations in law also constitute justifications for violence which has already occurred or which is about to occur. When interpreters have finished their work, they frequently leave behind victims whose lives have been torn apart by these organized, social practices of violence This much is obvious.⁴⁶

So if interpretation is the name of the game, as Stanley Fish famously put it,⁴⁷ then the game is unmistakably 'worth the candle', as Andrea Bianchi now frames it.⁴⁸ To read out in full what should meanwhile be obvious: arbitrators leave behind victims, sometimes merely in the name of the rule of law.

Which brings us to the question: must this violence always be condoned when the rule of law mandates it? Is the rule of law the pre-eminent rule of play in the game? Is it a valid excuse that the parties expected it—assuming, *arguendo*, that the parties indeed expected it? If it were necessarily true that it is more important to settle a rule than to settle it right, in other words if the presence of predicable rules is by necessity better than their absence, then the answer is probably that indeed it is a valid excuse.

⁴³ This is a rough approximation of the corresponding technical requirements of legality in analytic legal philosophy: see Kramer, *Objectivity and the Rule of Law* (note 11), ch. 2, and Fuller, *The Morality of Law* (note 28), ch. 2.

⁴⁴ Fuller, *The Morality of Law* (note 28), at p. 229.

⁴⁵ Cover, R., 'Nomos and Narrative' (1982) 97 *Harv. L. Rev.* 4, at p. 53.

⁴⁶ Cover, R., 'Violence and the Word' (1986) 95 *Yale L.J.* 1601.

⁴⁷ Fish, S., *Is There a Text in this Class? The Authority of Interpretive Communities* (Harvard University Press, 1980), at p. 355: 'interpretation is the only game in town'.

⁴⁸ Bianchi, A., 'The Game of Interpretation in International Law: How to Play and Why the Game is Worth the Candle', forthcoming.

To be sure, a charge fuelled by the same idea is levelled at *commercial* arbitration by its detractors. The intuition that the rule of law is necessarily morally valuable is replaced here by the argument (usually undemonstrated and arguably based on the intuition mentioned earlier) that regulation is a public good. Here is how the charge is mounted. It is generally thought that one of the great problems with the fact that more and more disputes, and thus contractual relationships, take the road of commercial arbitration rather than courts is that commercial arbitration does not create rules because it does not rely on prior cases because prior cases are insufficiently published. It is a problem because the public good that is regulatory production, which is normally provided by public judges, is no longer provided by arbitrators. Accordingly, arguments are made that the offer of private justice (the way arbitration works, in essence) should be adapted so as to allow arbitration to create rules, to engage in regulatory activities.⁴⁹ But what if we were to realize—*ex hypothesi*—that distortive influences affect the law-making of commercial arbitrators to the point that their norm production is ‘bad’ in the sense used above? Would the current situation as described by the detractors of arbitration just mentioned—still assuming, *arguendo*, that the description is factually correct—not be preferable?

To see the point, we need to understand that it is not necessarily true that it is more important for a rule to be settled than it be settled right. Consider the situation in which a new regime comes to power and orders all men who sigh to be heavily fined. Judges are required to apply the rule, but have two choices: either they apply the rule strictly and effectively fine every man who, for instance, checks his emails and faces yet another manifestation of standard stupidity. They create an effective regime that is predictable and further the rule of law. Or they apply the rule to one man out of two, chosen truly randomly. The rule is unpredictable, to the point that we may assimilate it, for the purposes of our discussion, to the absence of a rule. They do not further the rule of law; in fact they undermine it. For those who are effectively fined, that practice adds insult to injury. Yet is it not overall a better system? Let us take the example one step further towards extremes to make the point more salient: all men who do not have blue eyes shall be hanged. Assuming the judges still have only two choices, namely systematic, rule-of-law application of the mandate, or random application to one person out of two. Do judges applying that command not have a moral duty to choose the second option? The next section seeks to explain that idea analytically.

6. The Value of the Rule of Law

The rule of law, in the sense of ‘the state of affairs that obtains when a legal system exists and functions’,⁵⁰ which involves a certain degree of consistency and predictability, is usually perceived to be something valuable. The qualification as ‘law’, or

⁴⁹ So e.g. Muir Watt, H., ‘Private International Law Beyond the Schism’ (2011) 2 *Transnational Legal Theory* 347.

⁵⁰ Kramer, ‘On the Moral Status’ (note 16), at p. 65.

'legal system', carries the expectation of certain formal qualities that we associate with that which is legal—the guarantees of the rule of law. In the words of Brian Tamanaha again: 'The rule of law in this sense entails public, prospective laws, with the qualities of generality, equality of application, and certainty.'⁵¹ The rule of law is perceived as something good and valuable, here, because of its inherent formal virtues: it is a superior mode of regulation.

But such a claim says nothing about the substantive qualities or substantive virtues of a specific instance of law. The contents of a specific law or even a given legal system in its entirety can be utterly bad, even evil. Law is fallible by nature, it may fail to promote the common good.⁵² The rule of law qua formal legality—that is, the type of rule of law sought to be advanced when the virtues of consistency and predictability are extolled—is agnostic to the actual contents of the set of rules it characterizes.⁵³ As such, it would consider as rule of law an iniquitous regime, one that under a substantive approach to justice would be flagged as 'bad law', and would not discriminate it from a benign regime, provided both are consistent, predictable, etc.

In other words, the rule of law in this formal version is serviceable to good and bad ends. To take an extreme position in order to make the point, without meaning to consider that position as representative of investment arbitration, the argument is convincingly made that 'the rule of law [as formal legality] is [also] a necessary condition for the long-term perpetration of certain large-scale projects of evil'.⁵⁴ Indeed, exploitative officials can, purely instrumentally, use the 'direction-providing and incentive-promoting and coordination-facilitating advantages of the rule of law'⁵⁵ to reinforce the grip of their evil regime over their society. Put differently, that particular society would credibly be better off without law to help the repressive, malevolent officials, since they would thus lack one essential tool of social structuring and power assertion. Put very simply, law may merely be 'an instrument for the effective realization'⁵⁶ of political goals, which may be benign or evil. Brutally simplified, law may reinforce the benignity or evilness of a regime, since law is necessary, in Matthew Kramer's words, both for many morally worthy projects and for 'far-reaching enterprises of iniquity that are carried on for many years'.⁵⁷ Consider the former regime in East Germany, for instance, which likely was strengthened by the regime's instrumental recourse to law. In other words: 'As a set of conditions that obtain whenever any legal system exists and operates, the rule of law is per se a morally neutral state of affair.'⁵⁸ Consequently legality is, strictly analytically speaking and in the abstract, morally neutral.

⁵¹ Tamanaha, *On the Rule of Law* (note 30), at p. 119.

⁵² Lyons, D., *Ethics and the Rule of Law* (Cambridge University Press, 1984), at p. 63; Hart, H.L.A., *The Concept of Law* (2nd edn, Clarendon Press, 1994), at pp. 185–6.

⁵³ Summers, R., 'A Formal Theory of the Rule of Law' (1993) 6 *Ratio Juris* 127, at p. 135.

⁵⁴ Kramer, M., 'For the Record: A Final Reply to N.E. Simmonds' (2011) 56 *Am. J. Juris.* 115, at p. 124.

⁵⁵ Kramer, 'On the Moral Status' (note 16), at p. 76.

⁵⁶ Kramer, 'On the Moral Status' (note 16), at p. 76.

⁵⁷ Kramer, 'For the Record' (note 54), at pp. 124, 125. See further Kramer, M., *In Defense of Legal Positivism: Law without Trimmings* (Oxford University Press, 2003).

⁵⁸ Kramer, *Objectivity and the Rule of Law* (note 11), at p. 102.

As a consequence, efforts made by arbitrators to bring the regime created by investment arbitration closer to the realization of the rule of law, while a priori appearing to be morally valuable, are in fact morally neutral. Even their own compliance, the 'officials' compliance with rule-of-law requirements[,] is not an inherently moral pattern of behavior'.⁵⁹ Since such efforts are morally neutral, they cannot serve as an excuse, they cannot counterbalance a substantively bad decision or, through such decisions, a bad rule. Making consistent decisions is, in itself, neither good nor bad. Rule-of-law activities exerted by arbitrators, such as relying on prior cases and making *obiter dicta* to orient future cases, which seek to make the system more consistent and predictable, are per se morally neutral, neither good nor bad.

7. Investment Arbitrators as Regulatory Actors

Since it is neither good nor bad, from a perspective of political morality, to engage in rule-of-law-advancement activities, what should arbitrators do? Let us first stick to the axiom I have posited near the outset of this chapter. Here, the effective pursuit of the rule-of-law requirements of consistency and predictability, for instance through reliance on prior cases, does not alleviate the regime's 'badness'. On the contrary, it makes it worse. Such activities, while increasing the overall predictability of the regime, strengthen rules (which are 'bad' according to the axiom). Put differently, following prior cases allows rules to first emerge and then ossify, which in turn would tend to make the arbitrators in the case at hand and future arbitrators less free to perform their first, direct function of deciding cases with full consideration for the case at hand. An ossified, consistent, predictable, bad regime is worse than a loose, inconsistent, bad regime, because the former creates greater constraints for decision-makers in individual cases. A 'bad' and vague investment regime is preferable to a 'bad' and precise, constraining investment regime that is closer to the ideals of the rule of law in its formal understanding. This is how following prior cases makes a bad regime worse.

Now, let us put the axiom aside. While following prior cases is itself morally neutral, because the rule of law is itself morally neutral, the effects of doing so are not neutral: put simply, if a regime is 'good', then predictability, consistency, and the rule of law in general, make it better; if the system is 'bad', these features make it worse. Accordingly, rule-of-law-advancing act-types should be undertaken only if the regime in general or the rule in particular is 'good'. This arbitrators should explain. It is their explanandum. While it is, as I have said, largely subjective whether a regime or a rule is good, arbitrators should at least explain why they believe that a regime or a rule they contribute to ossifying is substantively good (where 'good' of course does not include being predictable), because consistency for

⁵⁹ Kramer, 'For the Record' (note 54), at p. 116.

the sake of consistency is not a moral reason-for-action. Only the regime or rule being 'good' justifies following prior cases that crafted it.

Indeed, the default position of investment arbitrators is that they pursue the first function sketched above—focusing on the case at hand, deciding the case before them for itself. Put differently, what arbitrators are clearly asked to do is to make good decisions for the parties before them.

The normative basis for the other two functions is far less obvious. (Notice that I am switching here to a normative approach to these functions, where in the above it was merely descriptive, as I described what the different functions can be, not which one arbitrators ought to pursue.)

But perforce, some degree of pursuit of the second function—enforcing societal values—is unavoidable. Societal values nearly systematically imbue the way in which rules are interpreted. As H.L.A. Hart put it, the 'assumption that a legal system aims at some form of justice colours the whole way in which we interpret specific rules in particular cases'.⁶⁰ Put differently, some values, which are subjectively taken to partake of justice, colour the way in which legal sources are apprehended.

Switching from the first to the third function—pursuing the rule of law—is more explicit, and can be minimized more easily. And *minimized* I do mean. As Stephan Schill has convincingly shown, investment arbitrators do multilateralize bilateral investment treaties, do follow argumentative patterns implying a belief in an overarching body of international investment law,⁶¹ and in sum do contribute, inevitably, to the unification of disjunct normative sources into an interconnected whole.⁶² Or as he puts it in his chapter in the current volume, 'arbitrators actively contribute to the generation of a treaty-overarching framework'.⁶³

I do not argue that investment arbitrators should engage in a sort of schizophrenia in which they would see the case before them in strict isolation from the rest of world. Every arbitral award, so long as it is published, has regulatory effects and is likely to influence those who read it—and those who read what those who have read it have written. Prior decisions, once read, constellate the universe of future decision-making, they form guideposts for future reasonings in decision-making, just as arguments made in a debate form guideposts that orient further debating.⁶⁴ But the influence of prior decisions on future decisions obtains by degrees. The choices are not only, on the one hand, treating a case as a completely isolated island and, on the other hand, following prior cases without reflective argumentation. So I do mean 'minimized'. And the minimization of the pursuit of the rule of law for

⁶⁰ Hart, H.L.A., 'Positivism and the Separation of Law and Morals' (1958) 71 *Harv. L. Rev.* 593, at p. 622.

⁶¹ On the role of beliefs in what counts as law, see e.g. Jellinek, G., *Allgemeine Rechtslehre* (2nd edn, O. Häring, 1905), at pp. 324 et seq.

⁶² Schill, S., *The Multilateralization of International Investment Law* (Cambridge University Press, 2009).

⁶³ See Chapter 4 in this volume.

⁶⁴ See e.g. Stone Sweet, A., 'Path Dependence, Precedent, and Judicial Power' in Shapiro, M., and A. Stone Sweet (eds.), *On Law, Politics, and Judicialization* (Oxford University Press, 2002), pp. 112–35, at p. 124.

instance means not to follow prior decisions because they are prior decisions, and most certainly not to conjure up any moral duty to follow prior cases in the absence of a satisfactory treatment of the explanandum of a rule or regime's desirability. If investment arbitrators choose to pursue the third function to a greater degree than what is unavoidable, they should understand that this pursuit is not a moral positive per se, and that it should be done only if it can be shown that the underlying regime or rule is a 'good' one. This would open up a whole new, and welcome, set of arguments about the 'good' and 'bad' of investment arbitration.

How about the argument that arbitrators cannot show whether a regime or a rule is 'good' or 'bad', and should be left to retreat to the argument that it is simply *likely* that the regime is 'good'? In fact, the likelihood that investment arbitrators produce a good regime is rather low: they are not appropriate regulators. This is not to blame them in any way. The procedures and mechanisms by which a legislative institution forms its opinions and output is simply very different from the procedures and mechanisms by which a judicial or adjudicative institution reaches its decisions. And the way in which arbitration is structured is even less conducive to producing good regulation than the way most courts are organized. Regulating simply was not the point of developing arbitration as a legal institution. Arbitrators, then, should exercise regulatory restraint because the legal institution constraining their operations is neither designed nor equipped to engage properly in regulatory activities. And recall: not to have a rule (or not to be in a situation where the rule of law obtains) is not necessarily worse than to have a rule (or to be in a situation where the rule of law obtains). Unless it is posited that we are arguing about a benign regime, it is more important for a rule to be settled right than it be settled.

8. Conclusion

To be clear, I have not been debating whether investment arbitrators do make investment law. Florian Grisel's chapter in the current volume leaves no doubt about that.⁶⁵ (At least it is law according to the relative point of view of these arbitrators, which is the determinant for our discussion.⁶⁶) I rather take a normative, metaphysical approach, to ask whether the degree to which this obtains is a good state of affairs.

My argument has been that arbitrators should not see themselves as law-makers, which manifests itself by attempts to advance the rule of law, which in turn for example takes the form of following prior decisions in order to consolidate rules. There is a high risk that as law-makers they do more harm than good, given, among

⁶⁵ See Chapter 7 in this volume.

⁶⁶ On the distinction between relative legality (what certain individuals or normative systems consider to be law, which so to speak only counts for themselves and for those they can impose their views on) and absolute legality (what analytically, from an external perspective, amounts to law), see Schultz, T., 'Secondary Rules of Recognition and Relative Legality in Transnational Regimes' (2011) 56 *Am. J. Juris.* 59 and Schultz, T., *Transnational Legality: Stateless Law and International Arbitration* (Oxford University Press, 2014, forthcoming), ch. 5.

other factors, that creating law, filling gaps, furthering the rule of law, pursuing predictability is not necessarily a good thing to do, a moral positive. And there are reasons advocating for the fact that investment arbitration is not the right institution to make rules. Precise, consistent rules, forming a regime that meets the requirements of the rule of law, are not inherently preferable to vague, inconsistent rules forming a regime that does not meet the standards of regulative quality which partake of the rule of law, in its incarnation as formal legality. There is nothing inherently good in furthering the rule of law. It is not by necessity morally valuable to increase predictability and consistency in any legal regime. It often is, but it is not by necessity so or inherently so. A bad rule applied consistently, in a predictable way, in highly regularized patterns, may do more harm than the same rule applied inconsistently, occasionally, in an unpredictable way.

Once more into the fray: Let us assume, for instance, that too much investor access to arbitration is harmful. (This is a hypothetical to illustrate, by slightly specifying, the axiom posited at the outset of this chapter. And again I shall eschew the distractions of defining what is 'too much' and 'harmful', for these are mere variables that affect when the argument applies, not whether it is analytically correct.) Let us further assume that a rule is currently developing that provides for that type of investor access. If arbitrators consolidate that rule by applying it with great regularity, they increase consistency and predictability but make the overall state of affairs worse. Making a bad rule, or a bad regime, more consistent, more predictable, more compliant with the idea of the rule of law, does not cure the rule or the regime's badness. It rather makes it worse. Consistency in applying rules is not something good *per se*.

I shall repeat myself one last time: I do not argue that the regime created by investment arbitration decisions is bad. The major premise of any such argument largely depends on a political stance. I leave this to political and policy actors. The minor premise of any such argument (for instance: does investment arbitration actually attract sustainable investments?) is a simple question of fact, which should be left to political scientists and economists, whose answer will necessarily be qualified. But what I can do is use axioms and hypotheticals. My argument, then, is that when it is likely, or even clear, that the investment arbitration regime or a given rule does more harm than good, it is no excuse to maintain it in the name of consistency. My argument further is that it is wrong to say, without qualifications, that investment arbitrators should seek consistency. They should seek consistency only when doing so furthers a benign, desirable regime. The burden of proof as to whether that is the case (that is to say, the explanandum) is on them, for the basic, unconditional job of arbitrators is to decide cases, not to make general rules.